

You've likely heard of the investing duo of Warren Buffett and Charlie Munger. But 40 years ago there was a third member of the group, Rick Guerin.

Warren, Charlie, and Rick made investments together and interviewed business managers together. Then Rick kind of disappeared, at least relative to Buffett and Munger's success. Investor Mohnish Pabrai once asked Buffett what happened to Rick. Mohnish recalled:

[Warren said] "Charlie and I always knew that we would become incredibly wealthy. We were not in a hurry to get wealthy; we knew it would happen. Rick was just as smart as us, but he was in a hurry."

What happened was that in the 1973–1974 downturn, Rick was levered with margin loans. And the stock market went down almost 70% in those two years, so he got margin calls. He sold his Berkshire stock to Warren—Warren actually said "I bought Rick's Berkshire stock"—at under \$40 a piece. Rick was forced to sell because he was levered.<sup>[18](#)</sup>

Charlie, Warren, and Rick were equally skilled at getting wealthy. But Warren and Charlie had the added skill of staying wealthy. Which, over time, is the skill that matters most.

Nassim Taleb put it this way: "Having an 'edge' and surviving are two different things: the first requires the second. You need to avoid ruin. At all costs."

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Applying the survival mindset to the real world comes down to appreciating three things.

**1. More than I want big returns, I want to be financially unbreakable. And if I'm unbreakable I actually think I'll get the biggest returns, because I'll be able to stick around long enough for compounding to work wonders.**

No one wants to hold cash during a bull market. They want to own assets that go up a lot. You look and feel conservative holding cash during a bull market, because you become acutely aware of how much return you're